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DRIVEN MASTER FUND LP; PRAETOR FUND I, A SUB FUND OF PRAETORIUM FUND I ICAV; HIRTLE CALLAGHAN TOTAL RETURN OFFSHORE FUND LIMITED; HIRTLE CALLAGHAN TOTAL RETURN OFFSHORE FUND II LIMITED; HIRTLE CALLAGHAN TRADING PARTNERS, L.P.; AND THIRD SERIES OF HDML FUND I LLC,

Defendants.

COMPLAINT OF LYNN TILTON AND THE PATRIARCH & OCTALUNA ENTITIES FOR EQUITABLE SUBORDINATION

Plaintiffs (a) Lynn Tilton ("Ms. Tilton"), (b) Patriarch Partners VIII, LLC, Patriarch Partners XIV, LLC, and Patriarch Partners XV, LLC (collectively, the "Patriarch Entities"); and (c) Octaluna, LLC, Octaluna II, LLC, and Octaluna III, LLC (collectively, the "Octaluna Entities," and together with Ms. Tilton and the Patriarch Entities, the "Plaintiffs"), by and through their undersigned counsel, bring this action for equitable subordination against Defendants MBIA Inc. and MBIA Insurance Corporation ("MBIA Insurance," and collectively with MBIA Inc., "MBIA"), U.S. Bank, N.A. ("U.S. Bank"), Alvarez & Marsal Zohar Management ("AMZM"), Credit Value Partners, LP ("CVP"), Bardin Hill Investment Partners f/k/a Halcyon Capital Management LP ("Halcyon"),[2] Coöperatieve Rabobank U.A. ("Rabobank"), and Värde Partners, Inc. ("Värde," and the latter four entities collectively referred to as the "Original Zohar III Controlling Class"), Ascension Alpha Fund LLC, Ascension Health Master Pension Trust, CAZ Halcyon Offshore Strategic Opportunities Fund, L.P., CAZ Halcyon Strategic Opportunities Fund,

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[2] On October 10, 2018, Halcyon Capital Management sold minority stakes to TPG Sixth Street Partners and Dyal Capital Partners. Concurrent with the transaction, the firm changed its name to Bardin Hill Investment Partners ("Bardin Hill"). Because the relevant documents in this matter referred to the entity as Halcyon Capital Management, this Complaint will continue to refer to it as Halcyon.

IN THE UNITED STATES BANKRUPTCY COURT FOR THE DISTRICT OF DELAWARE

In re:

Zohar III, Corp., et al.,[1]

Debtors.

Chapter 11

Case No. 18-10512 (KBO)

Jointly Administered

LYNN TILTON, PATRIARCH PARTNERS VIII, LLC; PATRIARCH PARTNERS XIV, LLC; PATRIARCH PARTNERS XV, LLC; OCTALUNA, LLC; OCTALUNA II, LLC; AND OCTALUNA III, LLC,

Plaintiffs,

v.

MBIA INC., MBIA INSURANCE CORPORATION, U.S. BANK, N.A., ALVAREZ & MARSAL ZOHAR MANAGEMENT, CREDIT VALUE PARTNERS, LP, BARDIN HILL INVESTMENT PARTNERS F/K/A HALCYON CAPITAL MANAGEMENT LP, and the other defendants identified in the filed caption,

Defendants.

Adv. Pro. No. 19-50390 (KBO)

COMPLAINT OF LYNN TILTON AND THE PATRIARCH & OCTALUNA ENTITIES FOR EQUITABLE SUBORDINATION

Plaintiffs (a) Lynn Tilton ("Ms. Tilton"), (b) Patriarch Partners VIII, LLC, Patriarch Partners XIV, LLC, and Patriarch Partners XV, LLC (collectively, the "Patriarch Entities"), and (c) Octaluna, LLC, Octaluna II, LLC, and Octaluna III, LLC (collectively, the "Octaluna Entities," and together with Ms. Tilton and the Patriarch Entities, the "Plaintiffs"), by and through their undersigned counsel, bring this action for equitable subordination against Defendants MBIA Inc. and MBIA Insurance Corporation ("MBIA Insurance," and collectively with MBIA Inc., "MBIA"), U.S. Bank, N.A. ("U.S. Bank"), Alvarez & Marsal Zohar Management ("AMZM"), Credit Value Partners, LP ("CVP"), Bardin Hill Investment Partners f/k/a Halcyon Capital Management LP ("Halcyon"), Coöperatieve Rabobank U.A. ("Rabobank"), and Värde Partners, Inc. ("Värde," and the latter four entities collectively referred to as the "Original Zohar III Controlling Class"), and the other Defendants

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identified in the filed caption (together with the Original Zohar III Controlling Class, the “Zohar III Controlling Class”). MBIA, U.S. Bank, AMZM, and the Zohar III Controlling Class are collectively referred to as the “Defendants.”

I. PRELIMINARY STATEMENT

1. Plaintiffs bring this action for equitable subordination of Defendants’ claims to those of Plaintiffs to thwart and seek redress from MBIA’s long-running scheme—perpetrated with the assistance and support of U.S. Bank, AMZM, and the Zohar III Controlling Class—to rescue itself from the brink of financial ruin by wrongfully attempting to wrest from Ms. Tilton and the other Plaintiffs assets worth over a billion dollars. Defendants’ scheme—which was perpetrated in part while they controlled the Zohar Funds, and which has uniquely harmed Plaintiffs—stretches over a period of years and has continued through MBIA’s and the other Defendants’ conduct in Debtors’ bankruptcy cases (the “Chapter 11 Cases”), in conjunction with the administration of the Debtors’ estate.

2. MBIA insured certain Class A notes for Zohar I and Zohar II—two investment funds that Ms. Tilton created in 2003 and 2005—which, together with the later-created Zohar III, used money from Ms. Tilton and investors to buy a portfolio of loans to distressed companies (the “Portfolio Companies”). Since the formation of the Zohar Funds, and consistent with their original design and strategy described in greater detail below, Ms. Tilton has managed and controlled the Portfolio Companies through her various roles as their Manager or Director, beneficial owner, and in some cases CEO. As part of that design and strategy, Ms. Tilton (through her Patriarch Entities) also controlled the terms of the Debtors’ loans to the Portfolio Companies, by serving as the Zohar Funds’ collateral manager (until MBIA and the other Defendants wrongfully wrested that control from Ms. Tilton pre-petition by inducing her to resign from her collateral manager role under false pretenses). This dual control—which was Ms. Tilton’s central innovation in forming the Zohar Funds—enabled her to implement flexible and innovative turnaround solutions to create value for the Portfolio Companies and noteholders.

3. Through discovery in the now-dismissed prepetition case brought by the Securities and Exchange Commission (“SEC”) against Ms. Tilton and her Patriarch Entities, and in the

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Plaintiffs—stretches over a period of years and has continued through MBIA’s and the other Defendants’ conduct in Debtors’ bankruptcy cases (the “Chapter 11 Cases”), in conjunction with the administration of the Debtors’ estate.[4]

2. MBIA insured certain Class A notes for Zohar I and Zohar II—two investment funds that Ms. Tilton created in 2003 and 2005—which, together with the later-created Zohar III, used money from Ms. Tilton and investors to buy a portfolio of loans to distressed companies (the “Portfolio Companies”). Since the formation of the Zohar Funds, and consistent with their original design and strategy described in greater detail below, Ms. Tilton has managed and controlled the Portfolio Companies through her various roles as their Manager or Director, beneficial owner, and in some cases CEO. As part of that design and strategy, Ms. Tilton (through her Patriarch Entities) also controlled the terms of the Debtors’ loans to the Portfolio Companies, by serving as the Zohar Funds’ collateral manager (until MBIA and the other Defendants wrongfully wrested that control from Ms. Tilton pre-petition by inducing her to resign from her collateral manager role under false pretenses). This dual control—which was Ms. Tilton’s central innovation in forming the Zohar Funds—enabled her to implement flexible and innovative turnaround solutions to create value for the Portfolio Companies and noteholders. MBIA intended, approved, and recognized Ms. Tilton’s ownership and control of the Portfolio Companies for more than a decade until it became advantageous to MBIA and the other Defendants to reverse course and run from those prior

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[4] The debtors in this case are Zohar CDO 2003-1, Limited (“Zohar I”), Zohar II 2005-1, Limited (“Zohar II”), Zohar III, Limited (“Zohar III,” and together with Zohar I and Zohar II, the “Zohar Funds”), Zohar CDO 2003-1, Corp. (“Zohar I Corp.”), Zohar II 2005-1, Corp. (“Zohar II Corp.”) and Zohar III, Corp. (“Zohar III, Corp.,” and together with Zohar I Corp. and Zohar II Corp., the “Zohar Corps.”). The Zohar Funds and the Zohar Corps (the “Debtors”) are collectively the debtors and debtors-in-possession in the above-captioned Chapter 11 Cases. The Zohar Funds are owned through entities owned by Lynn Tilton, either directly or indirectly—Octaluna, LLC (“Octaluna I”), Octaluna II, LLC (“Octaluna II”), and Octaluna III, LLC (“Octaluna III”, and, as noted, together with Octaluna I and Octaluna I, the “Octaluna Entities”). Each of the Octaluna Entities holds all of the preference shares of its respective Zohar Fund (Octaluna I holds Zohar I’s preference shares, etc.). Through Ms. Tilton’s ownership of the Zohar Funds, she is also the indirect owner of the Zohar Corps.

representations in a desperate attempt to seize assets from Ms. Tilton and sell them quickly for cash.

3. Through discovery in the now-dismissed prepetition case brought by the Securities and Exchange Commission ("SEC") against Ms. Tilton and her Patriarch Entities, and in the prepetition action brought by the Zohar Funds at the direction and control of MBIA (through its agent AMZM) against Ms. Tilton, among other defendants, in Delaware seeking to take control of three Portfolio Companies (the "Delaware 225 Action")—discovery that MBIA fought vigorously to deny—Ms. Tilton was able to uncover the truth: That for years MBIA and the other Defendants, or their respective predecessors, have engaged in a surreptitious, inequitable scheme—with Plaintiffs as their target—seeking to capture the significant value in the underlying Portfolio Companies for themselves and to unfairly advantage themselves at the expense of Plaintiffs. Among other actions in furtherance of its scheme, MBIA wrongfully induced Ms. Tilton to purchase personally for nearly $104 million the A-3 Notes of Zohar I, which remained on par with the A-1 and A-2 notes only as long as Zohar I did not default, with the false promise that MBIA would extend Zohar I's maturity date with respect to the A-1 and A-2 notes if she did. MBIA then sought to (and did) bring about the default of Zohar I by refusing to agree to an extension of the maturity date, despite its prior representations to the contrary. As a result, the A-3 Notes purportedly became subordinated to payments of principal and interest for the A-1 and A-2 Notes held by MBIA.

4. MBIA also wrongfully induced Ms. Tilton to resign as collateral manager of all three Zohar Funds under false pretenses—including that MBIA agreed Ms. Tilton would "remain in her positions with," and "retain" "all ownership . . . positions in," the "underlying portfolio companies." And after falsely assuring Ms. Tilton that she would have a role in the selection of

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4. MBIA also wrongfully induced Ms. Tilton to resign as collateral manager of all three Zohar Funds under false pretenses—including that MBIA agreed Ms. Tilton would "remain in her positions with," and "retain" "all ownership . . . positions in," the "underlying portfolio companies." And after falsely assuring Ms. Tilton that she would have a role in the selection of the replacement collateral manager, MBIA and the Zohar III Controlling Class unilaterally hand-picked the successor collateral manager, AMZM, to act at their behest. With the Zohar III Controlling Class, AMZM, and U.S. Bank as its co-conspirators, MBIA sought to snatch ownership and control of Zohar I and the Portfolio Companies from Ms. Tilton: MBIA instructed U.S. Bank to conduct an auction of Zohar I collateral, through which MBIA purportedly obtained equity interests in Portfolio Companies beneficially owned by Ms. Tilton and the other Plaintiffs. Then MBIA and the Zohar III Controlling Class instructed AMZM to execute written consents to oust Ms. Tilton from her board positions with certain Portfolio Companies, even though MBIA and the Zohar III Controlling Class knew that the

the replacement collateral manager, MBIA and the Zohar III Controlling Class unilaterally hand-picked the successor collateral manager, AMZM, to act at their behest. With the Zohar III Controlling Class, AMZM, and U.S. Bank as its co-conspirators, MBIA sought to snatch ownership and control of Zohar I and the Portfolio Companies from Ms. Tilton: MBIA instructed U.S. Bank to conduct an auction of Zohar I collateral, through which MBIA purported to obtain equity interests in Portfolio Companies actually beneficially owned by Ms. Tilton and the other Plaintiffs. Then MBIA and the Zohar III Controlling Class instructed AMZM to execute written consents to oust Ms. Tilton from her board positions with certain Portfolio Companies, even though MBIA and the Zohar III Controlling Class knew that the structure and purpose of the Zohar Funds, from inception, depended upon Ms. Tilton owning and controlling the Portfolio Companies.

5. In furtherance of its scheme, MBIA entered into a secret deal with the SEC to obtain confidential information about the Portfolio Companies to use in a campaign of sham litigation against Ms. Tilton. At the same time, MBIA sought to encourage and provoke the SEC to investigate Ms. Tilton and Patriarch on meritless fraud charges—a gambit that cost Ms. Tilton tens of millions of dollars in defense costs and nearly ruined her business and reputation—until an Administrative Law Judge (after a multi-week trial) ultimately fully exonerated Ms. Tilton in a 57-page decision that finally exposed this MBIA-instigated campaign for what it is: a relentless crusade to obtain Ms. Tilton's assets, based on accusations entirely unsupported by the facts. All of the actions by MBIA and the other Defendants described herein constitute atypical behavior of lenders designed to give them an improper advantage over Plaintiffs.

6. But this SEC decision served as only a temporary hurdle in this wrongful crusade of the Defendants, each working at MBIA's direction or in coordination with MBIA—to obtain

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6. But this SEC decision served as only a temporary hurdle in this wrongful crusade of the Defendants, each working at MBIA's direction or in coordination with MBIA—to obtain Plaintiffs' assets. When the SEC proceedings concluded, Defendants—through AMZM as collateral manager—opened new litigation fronts of their own, bringing wave after wave of suits against Ms. Tilton and the other Plaintiffs, including a now-dismissed civil RICO claim filed in the Southern District of New York that falsely accused Ms. Tilton and the other Plaintiffs of all manner of outrageous wrongdoing (much of which overlapped with the SEC's meritless allegations) and sought over a billion dollars from Ms. Tilton and the other Plaintiffs. Defendants well know that the fog of litigation they created with their myriad meritless actions has directly harmed Plaintiffs' investments in the Zohar Funds and the Portfolio Companies and cost Plaintiffs tens of millions of dollars in legal fees and expenses alone, in addition to myriad other fees and expenses.

7. Defendants' scheme—orchestrated by MBIA—has continued throughout the pendency of these Chapter 11 Cases, which were initiated to lift the cloud created by Defendants' scorched earth litigation campaign and allow Ms. Tilton to successfully monetize the Zohar Funds' assets for the benefit of all stakeholders. At the outset, MBIA and the Zohar III Controlling Class's bad

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faith, inequitable conduct continued with the filing of a meritless motion to dismiss the bankruptcy proceedings that sought to replicate the scare tactics they employed in the RICO action—a strategy built on groundless accusations of wrongdoing. Indeed, the motion to dismiss repeated many of the same baseless canards advanced in the SEC proceeding and in the RICO complaint, even though both of those actions had resulted in full exoneration for Ms. Tilton. Only after Plaintiffs filed their opposition to the motion to dismiss did Defendants agree to mediation. After nearly five long days of mediation, the parties reached an agreement on a process to fully and finally resolve their dispute over the propriety of the bankruptcy cases, embark on a process to realize the maximum value of the underlying Portfolio Companies, and stay all further actions.

8. [REDACTED] The Court eventually approved the settlement agreement reached by the parties (the "Settlement Agreement"), [REDACTED].

9. Following approval of the Settlement Agreement, Ms. Tilton, working with the Zohar Funds' Independent Director and Chief Restructuring Officer, invested her full energy into the monetization process. [REDACTED]. Working for the benefit of all stakeholders, she delivered multiple proposals that would have mitigated Defendants' damages and ended the threat of value destructive litigation. Nevertheless, the proposals did not result in a settlement. [REDACTED]

10. Despite this history of inequitable conduct, each of the Defendants assert that it holds a claim against the Zohar Funds senior to the claims of Plaintiffs. In reality, Defendants' conduct should result in this Court entering an order subordinating those claims to the claims asserted by each of the Plaintiffs.

11. MBIA's and the other Defendants' serial pattern of inequitable conduct has resulted in an unfair advantage conferred to Defendants relative to Ms. Tilton and the other Plaintiffs in the Chapter 11 Cases, who are the primary other creditors holding claims against each of the Debtors. Each Defendant, moreover, was a "person in control of the debtor" and thus a statutory insider pursuant to 11 U.S.C. § 101(31)(B). Alternatively, Defendants are each a non-statutory insider, as each is "in a close relationship with the debtor to such an extent as to suggest transactions were not conducted at arm's-length" or were at their direction. Specifically, for the bulk of the Debtors'

Plaintiffs' assets. With the SEC proceedings concluded, Defendants—through AMZM as collateral manager—opened new litigation fronts of their own, bringing wave after wave of suits against Ms. Tilton and the other Plaintiffs, including a now-dismissed civil RICO claim filed in the Southern District of New York that falsely accused Ms. Tilton and the other Plaintiffs of all manner of outrageous wrongdoing (much of which overlapped with the SEC's meritless allegations) and sought over a billion dollars from Ms. Tilton and the other Plaintiffs. Defendants well know that the fog of litigation they created with their myriad meritless actions has directly harmed Plaintiffs' investments in the Zohar Funds and the Portfolio Companies and cost Plaintiffs tens of millions of dollars in legal fees and expenses alone, in addition to myriad other fees and expenses.

7. Defendants' scheme—orchestrated by MBIA—has continued throughout the pendency of these Chapter 11 Cases, which were initiated to lift the cloud created by Defendants' scorched-earth litigation campaign and allow Ms. Tilton to successfully monetize the Zohar Funds' assets for the benefit of all stakeholders. At the outset, MBIA and the Zohar III Controlling Class's bad faith, inequitable conduct continued with the filing of a meritless motion to dismiss the bankruptcy proceedings that sought to replicate the scare tactics they employed in the RICO action—a strategy built on groundless accusations of wrongdoing. Indeed, the motion to dismiss repeated many of the same baseless canards advanced in the SEC proceeding and in the RICO complaint, even though both of those actions had resulted in full exoneration for Ms. Tilton. Only after Plaintiffs filed their opposition to the motion to dismiss did Defendants agree to mediation. After nearly five long days of mediation, the parties reached an agreement on a process to fully and finally resolve their dispute over the propriety of the bankruptcy cases, embark on a process to realize the maximum value of the underlying Portfolio Companies, and stay all further actions.

12. In sum, MBIA and the other Defendants have unfairly advantaged themselves vis-à-vis the Plaintiffs. The principles of equity, which are embedded in a claim for equitable subordination, require the Court to address Defendants' years of inequitable conduct and harm to Ms. Tilton and the other Plaintiffs. Defendants should not be permitted to benefit from their "insider" status, which they used to inappropriately further their own interests, and improperly to position their own claims over those of Plaintiffs. Defendants' claims should be subordinated to those of Ms. Tilton and the other Plaintiffs. Subordination is the only result consistent with the provisions of the Bankruptcy Code, equity, and other applicable law.

II. PARTIES AND OTHER RELEVANT ENTITIES

13. Plaintiff Ms. Tilton is a natural person and a citizen and resident of Florida. Ms. Tilton, through her various affiliated entities (a number of which are described below), acquires, manages, and invigorates undervalued, often distressed, iconic American brands and companies. Ms. Tilton's business enterprise is one of the largest woman-owned businesses in the United States. She is the owner and Chief Executive Officer of Patriarch Partners, LLC and is the principal owner of several affiliated entities, including each of the Patriarch Entities. Ms. Tilton and Patriarch Partners, LLC ran the day-to-day operations of the Patriarch Entities. Ms. Tilton also wholly owns, through affiliated entities, the Octaluna Entities, which at all relevant times have been the equity owners of the Debtors through each Octaluna Entity's ownership of all of the respective Zohar Fund's preference shares. The Octaluna Entities also hold the Class B notes of the Zohar Funds. Ms. Tilton's claims against the Debtors are described in more detail below (*see infra* ¶ 68).

14. Plaintiff Patriarch Partners VIII, LLC ("Patriarch VIII") is a limited liability company organized and existing under the laws of the State of Delaware with its principal place of business in New York County, New York. Patriarch VIII is the managing member of

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existence, MBIA (as the credit enhancer) and the Zohar III Controlling Class were the so-called "Controlling Party" and "Controlling Class," respectively, under the Zohar Funds' Indentures, entitling them to exercise significant control and rights over each of the Debtors (which they exercised to obtain an unfair advantage over Plaintiffs). From 2016 to the filing of the Chapter 11 Cases, AMZM was the Collateral Manager of each of the Zohar Funds, and U.S. Bank was their Trustee.

12. Defendants' actions, moreover, have specifically and uniquely targeted and harmed each of the Plaintiffs, including because Defendants' actions were taken to enable themselves to recoup the full value of their Zohar Fund investments ([illegible]) while, among other things, damaging the $896 million of secured Zohar Fund notes held by Plaintiffs.

13. In sum, MBIA and the other Defendants have unfairly advantaged themselves vis-à-vis the Plaintiffs. The principles of equity, which are embedded in a claim for equitable subordination, require the Court to address Defendants' years of inequitable conduct and harm to Ms. Tilton and the other Plaintiffs. Defendants should not be permitted to benefit from their "insider" status, which they used to inappropriately further their own interests, and improperly to position their own claims over those of Plaintiffs. Defendants' claims should be subordinated to those of Ms. Tilton and the other Plaintiffs. Subordination is the only result consistent with the provisions of the Bankruptcy Code, equity, and other applicable law.

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Octaluna I. Patriarch VIII is wholly owned, through affiliated entities, by Ms. Tilton, and it was the collateral manager of Zohar I until it was induced to resign from that position under false pretenses in February 2016, effective March 3, 2016. Patriarch VIII has a secured claim against Zohar I in an amount no less than $21,238,505.74.

15. Plaintiff Patriarch Partners XIV, LLC ("Patriarch XIV") is a limited liability company organized and existing under the laws of the State of Delaware with its principal place of business in New York County, New York. Patriarch XIV is the managing member of Octaluna II. Patriarch XIV is wholly owned, through affiliated entities, by Ms. Tilton, and it was the collateral manager of Zohar II until it was induced to resign from that position under false pretenses in February 2016, effective March 3, 2016. Patriarch XIV has a secured claim against Zohar II in an amount no less than $4,574,540.86.

16. Plaintiff Patriarch Partners XV, LLC ("Patriarch XV") is a limited liability company organized and existing under the laws of the State of Delaware with its principal place of business in New York County, New York. Patriarch XV is the managing member of Octaluna III. Patriarch XV is wholly owned, through affiliated entities, by Ms. Tilton, and it was the collateral manager of Zohar III until it was induced to resign from that position under false pretenses in February 2016, effective March 3, 2016. Patriarch XV has a secured claim against Zohar III in an amount no less than $2,281,497.95. Patriarch XV also holds no less than $286,445,355 in principal amount owing under the Class A-3 Notes issued by Zohar I.

17. Plaintiff Octaluna I is a limited liability company organized and existing under the laws of the State of Delaware with its principal place of business in New York County, New York. It is a creditor of, and holds the class B notes and preference shares of, Zohar I. Specifically,

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preference shares. The Octaluna Entities also hold the class B notes of the Zohar Funds. Ms. Tilton's claims against the Debtors are described in more detail below (see infra ¶ 68).

16. Plaintiff Patriarch Partners VIII, LLC ("Patriarch VIII") is a limited liability company organized and existing under the laws of the State of Delaware with its principal place of business in New York County, New York. Patriarch VIII is the managing member of Octaluna I. Patriarch VIII is wholly owned, through affiliated entities, by Ms. Tilton, and it was the collateral manager of Zohar I until it was induced to resign from that position under false pretenses in February 2016, effective March 3, 2016. Patriarch VIII has a secured claim against Zohar I in an amount no less than $21,238,505.74.

17. Plaintiff Patriarch Partners XIV, LLC ("Patriarch XIV") is a limited liability company organized and existing under the laws of the State of Delaware with its principal place of business in New York County, New York. Patriarch XIV is the managing member of Octaluna II. Patriarch XIV is wholly owned, through affiliated entities, by Ms. Tilton, and it was the collateral manager of Zohar II until it was induced to resign from that position under false pretenses in February 2016, effective March 3, 2016. Patriarch XIV has a secured claim against Zohar II in an amount no less than $4,574,540.86.

18. Plaintiff Patriarch Partners XV, LLC ("Patriarch XV") is a limited liability company organized and existing under the laws of the State of Delaware with its principal place of business in New York County, New York. Patriarch XV is the managing member of Octaluna III. Patriarch XV is wholly owned, through affiliated entities, by Ms. Tilton, and it was the collateral manager of Zohar III until it was induced to resign from that position under false pretenses in February 2016, effective March 3, 2016. Patriarch XV has a secured claim against Zohar III in an amount no less than $2,281,497.95. Patriarch XV also holds no less than $286,445,355 in principal amount owing under the Class A-3 Notes issued by Zohar I.

19. Plaintiff Octaluna I is a limited liability company organized and existing under the laws of the State of Delaware with its principal place of business in New York County, New York. It is a creditor of, and holds the class B notes and preference shares of, Zohar I. Specifically, Octaluna I holds

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no less than $150,000,000 in principal amount owing under the class B notes issued by Zohar I. Octaluna I holds $5.1 million in preference shares of Zohar I.

20. Plaintiff Octaluna II is a limited liability company organized and existing under the laws of the State of Delaware with its principal place of business in New York County, New York. It is a creditor of, and holds the class B notes and preference shares of, Zohar II. Specifically, Octaluna II holds no less than $200,000,000 in principal amount owing under the class B notes issued by Zohar II. Octaluna II also holds $49.9 million in preference shares of Zohar II.

21. Plaintiff Octaluna III is a limited liability company organized and existing under the laws of the State of Delaware with its principal place of business in New York County, New York. It is a creditor of, and holds the class B notes and preference shares of, Zohar III. Specifically, Octaluna III holds no less than $196,000,000 in principal amount owing under the class B notes issued by Zohar III. Octaluna III holds $60 million in preference shares for Zohar III.

22. Defendant MBIA, Inc. is a monoline insurer. It is a publicly traded holding company. Together with its subsidiaries, MBIA Inc. operates one of the largest financial guaranty insurers in the United States and is a provider of asset management advisory services. Shares of MBIA Inc. common stock are traded on the New York Stock Exchange. It has insured hundreds of billions of dollars in structured financial products, and paid approximately $149 million in claims as insurer under certain of the Zohar I notes and approximately $770 million in claims as insurer under the Zohar II notes. MBIA is a disputed creditor of Zohar I, and it is a creditor of Zohar II.

23. Defendant MBIA Insurance Corporation is a wholly owned subsidiary of MBIA, Inc., and primarily operates MBIA Inc.'s structured finance and international insurance business.

[The remaining paragraphs of Section II describe the other Defendants. They are not transcribed here. See the filed PDF.]

III. JURISDICTION AND VENUE

24. This Court has jurisdiction over this adversary proceeding pursuant to 28 U.S.C. §§ 157 and 1334.

Octaluna I holds no less than $150,000,000 in principal amount owing under the class B notes issued by Zohar I. Octaluna I holds $5.1 million in preference shares of Zohar I.

18. Plaintiff Octaluna II is a limited liability company organized and existing under the laws of the State of Delaware with its principal place of business in New York County, New York. It is a creditor of, and holds the class B notes and preference shares of, Zohar II. Specifically, Octaluna II holds no less than $200,000,000 in principal amount owing under the class B notes issued by Zohar II. Octaluna II also holds $49.9 million in preference shares of Zohar II.

19. Plaintiff Octaluna III is a limited liability company organized and existing under the laws of the State of Delaware with its principal place of business in New York County, New York. It is a creditor of, and holds the class B notes and preference shares of, Zohar III. Specifically, Octaluna III holds no less than $196,000,000 in principal amount owing under the class B notes issued by Zohar III. Octaluna III holds $60 million in preference shares for Zohar III.

20. Defendant MBIA, Inc. is a monoline insurer. It is a publicly traded holding company. Together with its subsidiaries, MBIA Inc. operates one of the largest financial guaranty insurers in the United States and is a provider of asset management advisory services. Shares of MBIA Inc. common stock are traded on the New York Stock Exchange. It has insured hundreds of billions of dollars in structured financial products, and paid approximately $149 million in claims as insurer under certain of the Zohar I notes and approximately $770 million in claims as insurer under the Zohar II notes. MBIA is a disputed creditor of Zohar I, and it is a creditor of Zohar II.

21. Defendant MBIA Insurance Corporation is a wholly owned subsidiary of MBIA, Inc., and primarily operates MBIA Inc.'s structured finance and international insurance business. MBIA Insurance Corporation is incorporated in New York and has its executive offices and

243. Defendants' actions alleged herein have also caused Plaintiffs to suffer significant money damages, including tens of millions of dollars in legal fees, and reputational harms, as forth herein.

E. Equitable Subordination of Defendants' Claims Is Consistent With Provisions of the Bankruptcy Code

244. Asking the Court to subordinate MBIA's and the other Defendants' claims to the claims of the Plaintiffs is consistent with the basic goal of equality of distribution in bankruptcy.

245. MBIA and the other Defendants engaged in inequitable and unfair conduct that caused harm to the Plaintiffs. Due to Defendants' control over the Debtors, they have has failed to act with good faith or inherent fairness in dealings with the Debtors. Instead, Defendants have been conferred unfair advantages as First-Priority Secured Creditor.

246. Putting Defendants' secured creditor claim ahead of other creditors' claims would offend the principles of equity. Defendants' creditor claims should not be allowed to share equally with the other creditors of the Debtors' estate.

VI. PRAYER FOR RELIEF

WHEREFORE, Plaintiffs respectfully request that the Court enter judgment:

a) Subordinating each Defendant's claims, individually and in total, against the Debtors, to the claims of Plaintiffs;

b) Granting any necessary and appropriate injunctive relief;

c) Awarding Plaintiffs their attorneys' fees and costs; and

d) Granting such other or further relief as is just, proper, and equitable.

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25. This adversary proceeding is a core proceeding pursuant to 28 U.S.C. § 157(b)(1), (b)(2)(A), (B), (K), and (O).

26. Plaintiffs do not consent to entry of a final order by this Court.

27. Venue is proper in the Court pursuant to 28 U.S.C. § 1408 and 1409(a).

IV. FACTUAL ALLEGATIONS

[Section IV, the factual allegations from the Zohar Funds' inception through the Chapter 11 Cases, is not transcribed here. See the filed PDF.]

V. CLAIM FOR RELIEF

COUNT I

Equitable Subordination Pursuant to 11 U.S.C. § 510(c) (Against the Defendants)

28. Plaintiffs repeat and reallege the allegations in each of the preceding paragraphs as if fully set forth herein.

[The remainder of Count I, the statutory and non-statutory insider subsections and the injury allegations is not transcribed here. See the filed PDF.]

VI. PRAYER FOR RELIEF

WHEREFORE, Plaintiffs respectfully request that the Court enter judgment:

a) Subordinating each Defendant's claims, individually and in total, against the Debtors, to the claims of Plaintiffs;

b) Granting any necessary and appropriate injunctive relief;

c) Awarding Plaintiffs their attorneys' fees and costs; and

d) Granting such other or further relief as is just, proper, and equitable.

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Dated: October 1, 2019
Wilmington, Delaware

Respectfully submitted,

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Dated: October 1, 2019
Wilmington, Delaware

Respectfully submitted,

By: */s/ Norman L. Pernick*

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